Inefficiency and Inequity: Why Slashing the EPA Budget is Ineffective in Addressing the Federal Budget Imbalance

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Background:

The Environmental Protection Agency (EPA) was created in 1970 by President Richard Nixon to consolidate federal environmental responsibilities into a single agency.[1] The EPA's mission is to protect human health and the environment, which is accomplished by:

- Developing and enforcing environmental regulations
- Setting national standards for pollution
- Awarding grants to non-federal institutions
- Studying environmental issues
- Partnering with local and state governments, private businesses and non-profits to pursue mission goals. [2.]

Congress approves the EPA budget annually. For FY2025, the President requested $9.1 billion; For FY2026, the proposed budget request is $4.1 billion.[3,4]

The requested FY2026 EPA budget represents a 54% decrease from FY2025.

The EPA accounts for only 0.4% of the total federal budget.[5] Large funding cuts minimally affect the federal budget imbalance but impact the agency's ability to monitor, regulate, and protect the environment. Continued funding of the EPA promotes efficiency and equity, and revenue-generating policies are a more effective way to impact the federal budget imbalance through the EPA.

Budget History

Chart 1 shows the annual EPA budget from FY2000 through the proposed FY2026 budget.[3] FY2026 shows a strong downturn from relatively consistent spending on the EPA.[4]

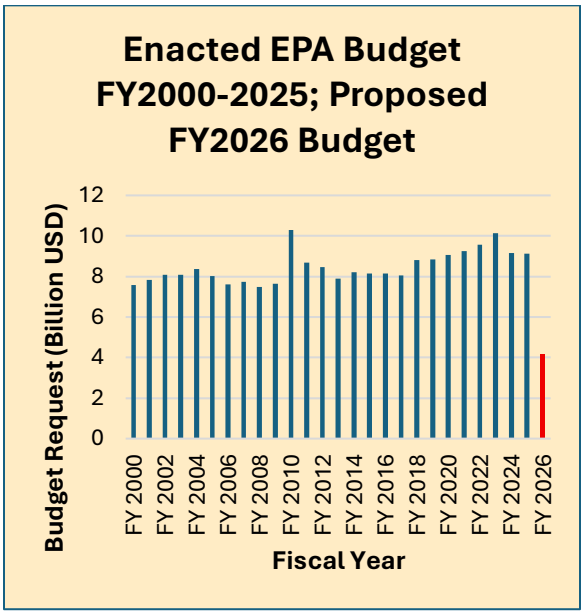

Chart 1: EPA Budget FY2000-2026. [3,4]

The proposed cuts to the FY2026 EPA budget drastically decrease funding for programs critical to the EPA's function, shown in chart 2. These include:

- A 34% decrease in science and technology spending
- A 22% decrease in environmental programs and management
- A 47% cut to the Superfund program

- An 80% cut to state and tribal assistance grants. [4]

Insufficient funding for key programs diminishes the EPA's ability to educate, regulate, and enforce environmental protection.

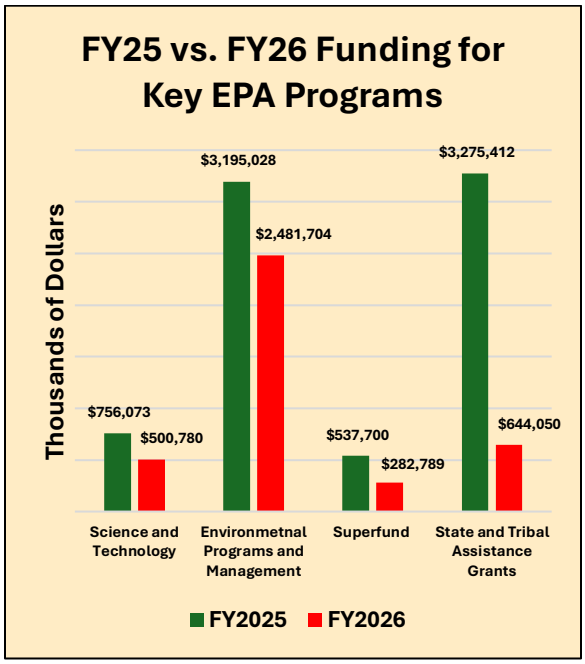

Chart 2: FY25 vs. FY26 Funding for Key EPA Programs.[4]

Economic Efficiency

Providing adequate funding to the EPA promotes economic efficiency by reducing negative externalities related to pollution and degradation. Regulations like the Clean Air Act, Clean Water Act, and the Superfund Cleanup program require government spending, yet prevent further costs to individuals and the government for recovery and remediation.

A 2021 study by the Natural Resources Defense Council estimated that healthcare costs related to air pollution cost roughly $820 billion per year.[6] The EPA plays a critical role in air pollution regulation and enforcement, and sufficient funding improves air quality and reduces healthcare costs incurred from poor air quality.[2]

Equity and Environmental Justice

Environmental justice is the concept that all groups, regardless of race or socioeconomic status, should be involved in the development of environmental policy to mitigate disproportionate impacts on any one group, especially disadvantaged groups.[7] The FY2026 budget eliminates EPA spending on environmental justice programs.[4]

Disadvantaged communities, including people of color and low-income earners, are disproportionately impacted by environmental hazards. Proximity to toxic waste sites, sewage treatment plants, refineries, and other industrial pollution sources increases exposure to pollutants for these communities.[8] Without sufficient funding to support air quality monitoring, regulation, and continued research of air quality health impacts, the EPA is abandoning their mission to protect human health.

Cuts to the EPA budget may provide a short-term budget balance yet incur long-term costs to maintain and improve human health and the environment.

Another critical role of the EPA is providing grants to states and tribal governments to carry out environmental regulation and enforcement. Cutting state

and tribal grants by $2.6 billion (80%) limits the ability of lower-level governments to enforce environmental protection, inequitably impacting states and tribes.[4]

The EPA's role in the Budget Imbalance

The EPA accounted for only 0.4% of the FY2025 federal budget.[5] Even a 54% cut to the EPA budget for FY2026 fails to meaningfully reduce the federal deficit. Further, improper environmental regulation due to insufficient funding may lead to increased spending by other agencies to address environmental issues.

The Federal Emergency Management Agency (FEMA) has significantly increased spending on climate-related disasters in the past two decades. The Disaster Relief Fund (DRF), a key component of FEMA's budget, provides most funding for immediate federal response to disasters and emergencies.[9]

Since Hurricane Katrina in 2005, FEMA's annual spending has increased significantly. In 2025, Congress allocated $22 billion to the DRF, a 13% increase from 2024 and a 454% increase from the average between 1992-2005.[9,10] Chart 3 compares the frequency and cost of billion-dollar weather events between 1984-2004 and 2005-2024.[11] Mitigating the influence of climate change on severe weather events is a key outcome of EPA regulations and enforcement.

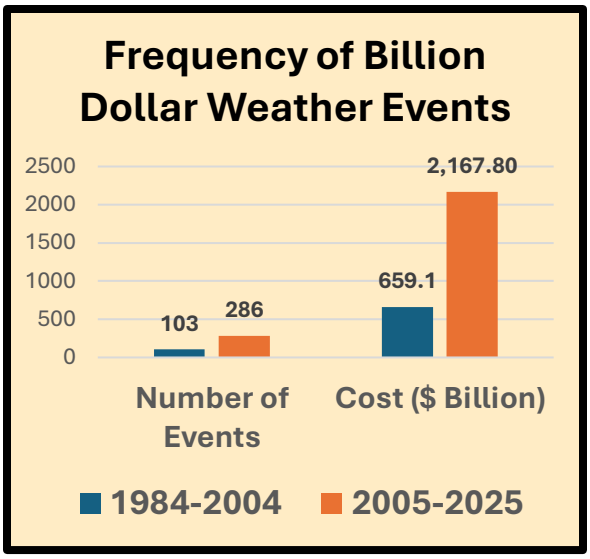

Chart 3: NOAA Billion-Dollar Weather events frequency and costs. [11]

Other Tools to Address Budget Imbalance

Implementing revenue-generating policies more effectively addresses the federal budget imbalance than cutting the EPA budget. Programs such as carbon taxes or cap-and trade systems are economic tools that can generate revenue while still providing adequate resources to protect human health and the environment.

A carbon tax is an amount paid for every ton of greenhouse gases emitted into the atmosphere.[12] Carbon taxes promote efficiency in manufacturing, help to reduce harmful pollution, and, if administered by the EPA, could generate revenue at the state and federal levels to offset the federal budget imbalance.

Cap-and-trade systems place national limits on pollution and limit emissions for companies. Low-polluting firms can sell unused pollution credits to high-polluting firms, generating revenue through the cap-and-trade program.[12] Again,

if managed by the EPA, a cap-and-trade program can generate revenue for the federal government to address the budget imbalance.

Proposed budget cuts will limit the EPA's ability to regulate, monitor, and enforce environmental programs without significantly reducing the federal deficit. Alternative options such as carbon taxes and cap-and-trade emissions programs could more meaningfully impact the federal budget imbalance without impacting the EPA's efficacy.

Conclusion

Cutting the EPA's budget in FY2026 does little to address the federal budget imbalance but significantly weakens the agency's ability to protect human health and the environment. Adequate funding allows the EPA to educate, regulate, and enforce environmental protection which promotes efficiency and equity by mitigating negative externalities of pollution, including healthcare costs and disaster spending. Instead of budget cuts, implementing revenue-generating policies, such as carbon taxes or cap-and-trade systems, would effectively address the budget imbalance without limiting the effectiveness of the EPA. Sufficient EPA funding is critical to protecting clean air and water, public goods that are vital to all Americans.

Footnotes

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